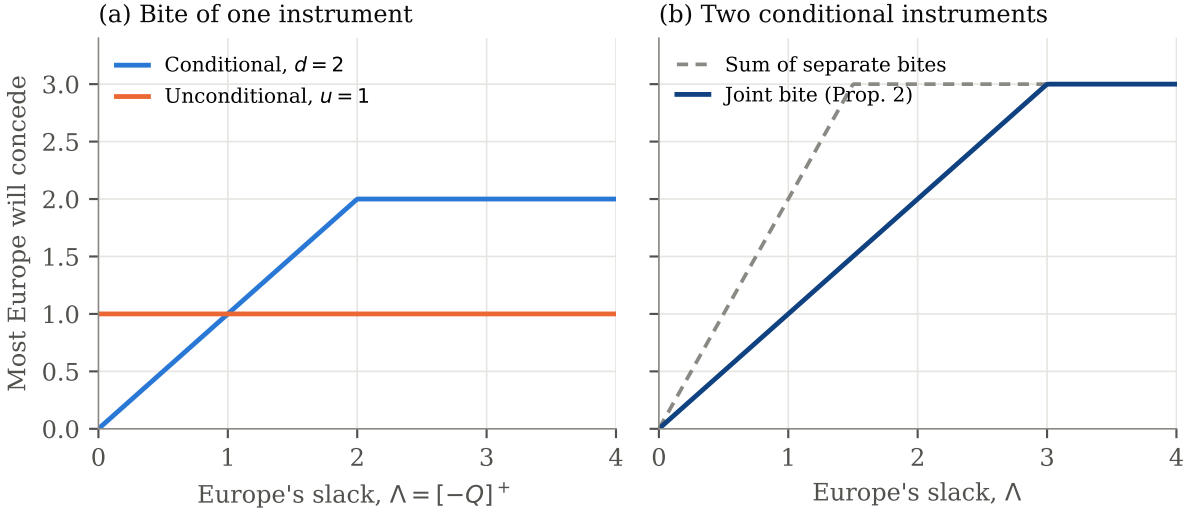
(a) Bite of one instrument
Conditional, $d = 2$
Unconditional, $u = 1$
Most Europe will concede
0.0
0.5
1.0
1.5
2.0
2.5
3.0
0
1
2
3
4
Europe's slack, $\Lambda = [-Q]^+$
(b) Two conditional instruments
Sum of separate bites
Joint bite (Prop. 2)
0
1
2
3
4
Europe's slack, Λ